THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH-III

CO. APPL.(CAA)70/ND/2021

IN THE MATTER OF:

Axis Risk Consulting Services Private Limited

(Transferor Company No.1)

And

Endeavour Software Technologies Private Limited

(Transferor Company No.2)

And

Genpact India Private Limited

(Transferor Company No.3)

CORAM:
MR. P.S.N PRASAD, MEMBER (JUDICIAL)
MR. NARENDER KUMAR BHOLA MEMBER (TECHNICAL)

Order Delivered on- 23.07.2021

ORDER

PER P.S.N PRASAD, MEMBER (T)

This petition is filed by way of a 1st Motion under Sections 230-232, Section 234 of the Companies Act, 2013 (hereinafter referred to as 'the Act') by the Applicants/Transferor Companies No.1-2 in connection with the Scheme of Merger (hereinafter referred to as 'the Scheme') for merging its business with M/s Genpack India Private Limited (Transferee Company).

2. As per averments, the registered office of the Applicant Companies no.1-2 and Transferee Company are situated in the National Capital Territory of Delhi, falling within the territorial jurisdiction of this Court.

3. The Applicant/ Transferor Company No.1 was incorporated under the Act on 21.10.2004 under the name and style of "Axis Risk Consulting Services Private Limited" having CIN 74999DL2004 PTC198643. The share capital of the Applicant/ Transferee Company as on March 31st, 2020 is as follows:

Particulars	**Amount in Rs.**
Authorized Share Capital	
5,000,000 Equity Shares of Rs. 10/- each	5,000,000
Total	**5,000,000**

Issued and Subscribed and Paid-up Share Capital	
2,000,000 Equity Shares of Rs.10/- each	2,000,000
Total	**2,000,000**

The main object of the Applicant/Transferor Company No.1 is engaged in the business of business process outsourcing services including managed IT and ITes, software solutions and e-learning services.

4. The Applicant/ Transferor Company No.2 was incorporated under the Act on 16.09.2002 under the name and style of "Endeavour Software Technologies Private Limited" having CIN U72200DL2002PTC368328. The share capital of the Applicant/ Transferee Company as on March 31st , 2020 is as follows:

Particulars	**Amount in Rs.**
Authorized Share Capital	
50,000,000 Equity Shares of Re. 1/- each	50,000,000
Total	50,000,000

Issued and Subscribed and Paid-up Share Capital	
121,606 Equity Shares of Re.1/- each	121,606
Total	121,606

The main object of the Applicant/Transferor Company No.2 is engaged in the business of developing software for mobile computing machines, providing a host of business process services in the field of software, IT services, call centres, Telecom related products and services.

5. The Transferee Company was incorporated under the Act on 10.02.2005 under the name and style of "Genpack India Private Limited" having CIN U73100 DL2005 PTC307363. The share capital of the Applicant/ Transferee Company as on March 31st, 2020 is as follows:

Particulars	Amount in Rs.
Authorized Share Capital	
5,560,020,000 Equity Shares of Rs. 10/- each	5,560,020,000
Total	5,560,020,000

Issued and Subscribed and Paid-up Share Capital	
20,265,085 Equity Shares of Rs.10/- each	20,265,085
Total	20,265,085

The main object of the Transferee Company is to deal with the business of providing host of business processing services, including finance and accounting, collection insurance, customer fulfilment, data modelling and analytical support, managed IT services, software solution and e-learning.

7. Copies of the Memoranda of Association and Articles of Association along with

the latest audited Balance Sheet as on 31.03.2020 and report of the Statutory Auditor of the Applicant Companies Nos. 1-2 and Transferee Company have been filed.

It has also been certified by the Statutory Auditor of the Applicant Companies Nos. 1-2 and Transferee Company that the Accounting Treatment is in compliance with the Accounting Standards prescribed u/s 133 of the Companies Act 2013.

8. It has been stated on behalf of the Applicant Companies that the Scheme of Amalgamation is necessitated and justified on grounds that :-

a. The amalgamated company will have a bigger portfolio of services targeted at a wider array of customers, which will strengthen its competitive position in providing business processing services in the field of IT and ITes, software solutions and e-learning services. This will also enable the amalgamated company to address newer solutions and services to its customers and to the amalgamated companies customers and enhance its marketing capabilities.
b. Would enable the amalgamated company to integrate and provide impetus to its business operations;
c. Would provide an opportunity to better leverage the consolidated assets and capital base, build a stronger and sustainable business, and improve the potential for further growth and expansion of the business;
d. Consolidation of businesses into one corporate entity would result in seamless access to the assets of the amalgamating companies and operational synergies for the group;
e. Simplification of the corporate structure and reduction of legal entities;

9. The Board of Directors of the Transferor Companies No.1 to 2 vide its meetings held on 22.04.2020 and the Transferee Company vide its meeting held on 23.04.2020 has unanimously approved the proposed Scheme of Merger. Copy of the board resolution passed have been filed.

10. Vide the present application, a prayer is made for dispensation of convening meetings in view of the following facts:-

A. In respect of the Transferor Company No.1 / Applicant Company No.1:-

- It has 2 Equity Shareholders who have accorded their consent vide affidavits placed on record.
- It has 2 Secured creditors as certified by the Chartered Accountant.
- It has 2 Unsecured Creditors out of which 1 unsecured creditor constituting 99.92% have accorded their consent vide affidavits placed on record.

In view of the consent accorded by its 2 Shareholders and 1 Unsecured Creditor constituting 99.92% vide affidavits, the requirement of convening the meeting of the shareholders and unsecured creditors is dispensed with. Further, as there is no secured creditor, the question of convening their meeting does not arise.

B. In respect of the Transferor Company No.2 / Applicant Company No.2:-

- It has 2 Equity Shareholders who have accorded their consent vide affidavits placed on record.
- It has no Secured creditors as certified by the Chartered Accountant.
- It has 52 Unsecured Creditors out of which 5 unsecured creditor constituting 96.66% have accorded their consent vide affidavits placed on record

In view of the consent accorded by its 2 Shareholders vide affidavits and consent accorded by 5 unsecured creditors constituting 96.66%, the requirement of convening the meeting of the shareholders and unsecured creditors is dispensed with. Further, as there is no secured creditor, the question of convening their meeting does not arise.

C. In respect of the Transferee Company

- It has 2 Equity Shareholders who have accorded their consent vide affidavits placed on record.
- It has no Secured creditors as certified by the Chartered Accountant.
- It has 983 Unsecured Creditors out of which 15 unsecured creditor constituting 90.48% have accorded their consent vide affidavits placed on record

In view of the consent accorded by its 2 Shareholders vide affidavits and consent accorded by 15 unsecured creditors constituting 90.48% , the requirement of convening the meeting of the shareholders and unsecured creditors is dispensed with. Further, as there is no secured creditor, the question of convening their meetings does not arise.

11. The proposed Scheme of Merger is annexed along with the present application.

12. It is submitted that the proposed arrangement is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and the Scheme if sanctioned by this Tribunal, will take effect from the date of on which certified copy of the order of sanctioning of proposed Scheme, passed by this Tribunal is filed with the Registrar of Companies.

13. It has also been submitted that there are no proceedings pending inquiry or investigation in respect of the applicant company.

14. While dispensing with the meetings, this Bench also directs that notices be sent to the Central Government through the office of the Regional Director (Northern Region), the Income Tax Authorities, Registrar of Companies, NCT of Delhi & Haryana, Official Liquidator and other sectoral regulators or authorities

as required under sub- section (5) of section 230 of the Companies Act, 2013 who may have significant bearing on the operation of the applicant companies along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangement, and Amalgamation) Rules, 2016. Copies of the notices along with the proof of dispatch be filed before this Bench along with the affidavit of compliance.

15. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicant.

As sequel to the above, the present application stands allowed by dispensing with the meetings of shareholders and creditors of the applicant companies.

-Sd-

Narender Kumar Bhola
Member(T)

-Sd-

P.S.N Prasad
Member(J)